

Equity Momentum Swing Beast

Risk Management/Position Sizing

Risk

Risk, or R, as it's commonly referred to in the trading world, is a measurement of risk

Risk is measured from the entry(e) price to the stop(s) price

$$\mathbf{r = e - s}$$

Entry price 100

Stop price 99

$$R = 1$$

Position Sizing

A major difference between successful professional traders and losing traders is understanding risk

100 shares (round lots) are not created equally

100 shares of \$TSLA = \$113,700

100 shares of \$LLY is \$26,072

Fixed dollar amounts are not created equally

\$5,000 of TSLA is 4.39 shares

\$5,000 of LLY is 19.23 shares

% Risk

Risking a % on each trade is the tool we use to stack the massive edge, of position sizing, on top of our other edges, momentum, price action, regimes

Let's have a look at our \$LLY trade example from earlier and compare the Simple vs Complex with position sizing

Comparison of Results by Method

[illegible]

What's different?

Entry Same

Stop Same

Exit Same

Risk/Reward Same

Profit for %R position sizing is highest

% of account is second best

Fixed Size is lowest

Over the long term

			10 trades	100 Trades
LLY Simple	%R		\$39,410.26	\$3,941,025.64
LLY Simple	Fixed Size		\$30,740.00	\$3,074,000.00
LLY Simple	LLY 25%		\$32,858.73	\$3,285,873.10

Spread that out over 10 trades and a noticeable difference

Spread that out over 100 trades and its nearly a million dollars in difference from simply making one minor change in position sizing

Formula for position sizing

1% Risk on \$100,000 is \$1,000

Risking \$1,000 on a trade doesn't mean you only buy \$1,000 worth of stock

It means if your stop loss is hit, you'd lose \$1,000

$$(\$100(\text{entry}) - \$98(\text{stop})) = \$2 \quad (r=2)$$

$$(\text{Account Balance} * .01) / R = \text{position size}$$

$$(\$100,000 * .01) / 2 = 500 \text{ shares}$$

Up next

We'll have a look at a number of different setups